

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-04

CHINA UNITED LINES, LTD,

Complainant,

v.

AMAZON.COM SERVICES LLC,

AMAZON LOGISTICS INC.,

AND

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.,

Respondents.

**RESPONDENTS' REPLY IN SUPPORT OF THEIR
MOTION FOR SUMMARY DISPOSITION**

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INTRODUCTION

The Presiding Officer’s June 12, 2026 Order¹ recognized that, with respect to China United Lines, Ltd.’s (“China United”) sole remaining claim, “it is not clear that China United’s current theory states a Shipping Act claim.” *June 12 Order* at 1-2. China United’s Opposition (“CUL Opp.”) confirms that it does not. Even accepting China United’s material factual allegations as true, they do not establish a violation of 46 U.S.C. § 41102(a).

China United admits that its claim is not based on any misrepresentation concerning a particular shipment or cargo and that Amazon paid all freight due for cargo carried under the parties’ contract. (Response to Fact Nos. 16, 28). It likewise admits that it knew of the contractual restrictions on publicizing Amazon’s name, including provisions Amazon had repeatedly enforced, yet publicized Amazon’s name without consent. (Response to Fact Nos. 6-13).

Faced with these admissions, China United attempts to recast section 41102(a) as a general fraud statute. Commission and judicial precedent foreclose that gambit, and in any event none of the conduct China United identifies constitutes actionable fraud, concealment, or deceit. China United’s only claimed injury is the loss of contractual remedies it is pursuing in separate litigation pending in the Southern District of New York. It has not sought, and cannot seek, those remedies in this proceeding. That failure provides a separate and independent basis for summary disposition.

China United has failed to produce evidence sufficient to establish essential elements of its sole remaining claim and its remaining claim fails as a matter of law. Summary disposition is therefore warranted.

¹ See Dkt. No. 76, Order on Pending Motions (June 12, 2026) (“*June 12 Order*”).

ARGUMENT

China United's claim fails for three independent reasons. First, China United misstates the summary disposition standard, treating any alleged factual disagreement as sufficient to require denial of the motion and a hearing even if it is not material to a valid legal claim, and incorrectly asserting that the Presiding Officer has the discretion to deny summary disposition even if it is warranted. Second, China United cannot establish a violation of section 41102(a). Its theory conflicts with controlling Commission precedent and is unsupported by any evidence that Amazon obtained transportation through false billing, classification, or any comparable device at less than applicable rates or charges. Third, China United identifies no cognizable Shipping Act injury or remedy. It relies instead on alleged contractual damages that are the subject of separate contract litigation and that the Commission lacks jurisdiction to award here. Each of these deficiencies independently warrants summary disposition; together they confirm that China United's remaining claim cannot proceed as a matter of law.

I. CHINA UNITED MISSTATES THE SUMMARY DISPOSITION STANDARD

Respondents' Motion for Summary Disposition accurately set out the legal standards applicable to motions for summary disposition, quoting Commission precedent. Motion at 7-8. In contrast, China United relies on inaccurate and incomplete descriptions of outdated precedent to argue that the Presiding Officer has the "discretion" to deny summary disposition even when granting it would be "technically proper." *Id.*, at 11. This assertion is directly contrary to binding precedent: "the plain language of Rule 56(c) **mandates** the entry of summary judgment, after adequate time for discovery and upon motion, against a party who fails to make a showing sufficient to establish the existence of an element essential to that party's case, and on which that

party will bear the burden of proof at trial.” *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986) (emphasis added).

China United’s argument that summary disposition is a “drastic” and “disfavored” remedy, *id.* at 10-11, is likewise directly contrary to Supreme Court precedent. As stated in *Celotex*, “[s]ummary judgment procedure is properly regarded **not** as a disfavored procedural shortcut, but rather as an integral part of the Federal Rules as a whole . . . Rule 56 must be construed with due regard . . . for the rights of persons opposing such claims and defenses to demonstrate in the manner provided by the Rule, prior to trial, that the claims and defenses have no factual basis.” 477 U.S. at 322 (emphasis added).

Nor is Amazon asking the Presiding Officer to weigh the evidence. Binding precedent requires courts to review the record through the evidentiary burden applicable at trial. *See Holcomb v. Powell*, 433 F.3d 889, 895 (D.C. Cir. 2006) (“by holding that the party with the burden of proof has not raised a genuine issue of material fact as to an essential element of its case, a tribunal does **not** improperly weigh the evidence or make credibility determinations”) (citation omitted, emphasis added).

Summary disposition is warranted because China United has failed to make a showing sufficient to establish the existence of an element essential to its sole remaining claim under section 41102(a).

II. CHINA UNITED HAS NOT STATED A CLAIM FOR VIOLATION OF 46 U.S.C. § 41102(A)

A. China United Misstates the Legal Standard

China United misstates the governing standard for a Section 41102(a) claim set out in the Presiding Officer’s *June 12 Order* and in the June 6, 2025 Order partially granting Respondents’

Motion to Dismiss.² China United incorrectly asserts that Amazon ignores the “any other unjust or unfair device or means” language in the statute and “argues in its Motion that the term ‘any other unjust or unfair device or means’ is limited to instances of ‘false billing, false classification, false weighing, false report of weight, false measurement.’” CUL Opp., at 11. Amazon correctly described the applicable legal standard, citing the *June 12 Order* and Commission precedent, that

whether conduct qualifies as an unjust or unfair device depends on its similarity to false billing, false classification, or the other conduct specifically identified in the statute. App. Ex. 6, *June 12 Order*, at 2 (quoting *United States v. Open Bulk Carriers*, 727 F.2d 1061, 1064 (11th Cir. 1984)). That principle reflects longstanding precedent giving Section 41102(a) a “restrictive meaning derived from [its] proximity to the words false billing, etc.” *Pacific Far East Lines*, 10 S.R.R. 1, 6 (FMC 1968), *aff’d*, 410 F.2d 257 (D.C. Cir. 1969).

See Dkt. No. 81, Resp. Mot. for Summary Disposition (“Resp. Mot.”) at 10.

Because China United misstates both Amazon’s argument and the governing law, it never shows that the challenged conduct resembles the practices identified in the statute, including false billing, false classification, false weighing, false reports, and false measurements. That omission is particularly striking given the Presiding Officer’s observation that Amazon’s marketing and confidentiality provisions “differ significantly” from those listed practices, which all concern information provided about cargo tendered for transportation. *June 12 Order* at 6. The Commission has likewise recognized that section 41102(a) violations have “all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo.” *Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, Dkt. No. 24-17, 2025 WL 2207363, at *18 (FMC July 30, 2025).

² Order Partially Granting Motion to Dismiss, at 2-3 (June 6, 2025) (“*June 6 Order*”).

Rather than establish how its allegations fit within the statute, China United argues that section 41102(a) extends to any conduct involving “some element of falsification, deception, fraud, or concealment.” CUL Opp. 13. No Commission or judicial decision supports that broad proposition. It ignores the settled requirement that actionable conduct be sufficiently similar to the false billing, false classification, false weighing, false measurement, and related practices specifically identified in the statute. *See* Resp. Mot. at 10. Section 41102(a) is not a general fraud or unfair-practices statute.³

Amazon showed in its Motion, at 11, that cases finding fraud or concealment under section 41102(a) have uniformly involved deception connected to the tender, booking, carriage, or release of cargo. China United does not and cannot meaningfully contest this principle, as evidenced by the fact that every authority China United relies upon involved actual rate fraud. China United quotes *Hohenberg Bros. Co. v. FMC*, 316 F.2d 381, 383 (D.C. Cir. 1963), for the proposition that section 41102(a) is “not so limited.” But *Hohenberg* addressed whether the fraud could be directed at other shippers rather than the carrier, an issue not presented here. *Hohenberg* involved a shipper’s knowing misclassification of cargo to get a lower rate. That conduct lies at the heart of section 41102(a) and bears no resemblance to the conduct China United alleges here. *Prince Line, Ltd. v. American Paper Exports, Inc.*, 55 F.2d 1053 (2d Cir. 1932), raised the same issue.⁴ *OC Int’l*

³ Amazon disagrees with any allegation that Amazon engaged in any form of deceit, fraud, concealment or any related behavior. Amazon need not engage in a point-by-point recounting of the parties’ assertions in the Southern District trial. The undisputed facts are that Amazon never consented to China United’s use of its name and the contract authorized termination for cause for unauthorized use of Amazon’s name. Amazon had no legal duty to notify China United that it had discovered China United’s material breach before concluding its internal review and China United has identified no evidence that Amazon knew of the breaches cited in the termination letter before April 18, 2023; nor would it be material if it had.

⁴ While not necessary to decide this motion, it is worth noting that the principle expressed in those cases that shippers should be protected from lower rates given secretly to their competitors, which fits well into a system of nondiscriminatory tariffs, makes no sense in the regime of confidential

Freight, Inc., Dkt. No. 12-01, 2014 WL 5316336, at *4-6 (FMC 2014), involved a knowing misrepresentation of shipper status to get lower rates, and *Rana v. Michelle Franklin d/b/a “The Right Move,” Inc.*, Dkt. No. 19-03, 2022 WL 1744905, at *17 (FMC May 25, 2022), involved false representations as to the shipper’s financial status to induce the booking of cargo.

China United attempts to rely on the Commission’s discussion of an interpretive rule in *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993), but the Commission *limited* the scope of section 41102(a) there; it did not expand it. The Commission noted that the section requires “some element of falsification, deception, fraud, or concealment,” but did not suggest that any form of fraud or concealment sufficed. The Commission also did not indicate that it was abandoning its holding in *Pacific Far East Lines*, that to be actionable the conduct must be similar to the false billing, weighing, measurement, classification, or report mentioned in the statute. China United’s reliance on *Capitol Transp., Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979), is also inapposite. That case involved far more than an ordinary commercial dispute. The defendant initiated a joint audit but then refused to honor both its conclusion and undisputed carrier invoices. China United alleges nothing comparable here. The decision further cautioned that even the conduct found there “undoubtedly nears the outer limits” of the statute. 612 F.2d at 1324. Here, China United’s only allegation of unlawful conduct is that Amazon enforced the Publicity Provisions and terminated the contract for cause. This conduct does not extend beyond a contractual dispute, which is being litigated in another forum.

service contracts that has prevailed in international ocean shipping since 1998. Legitimate cases under section 41102(a) have been virtually non-existent in the nearly three decades in which virtually all cargo has moved under confidential contracts, which by definition allow a carrier to give a lower rate to one shipper that is kept secret from other shippers.

Finally, China United's references to *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dkt. No. 02-04, 2006 WL 2007808, at *11 (FMC May 10, 2006) and *Cargo One, Inc. v. COSCO Container Lines Co. Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) are beside the point. Amazon is not arguing that conduct cannot be both a breach of contract and a violation of the Shipping Act, or that the Commission does not have jurisdiction over a proper section 41102(a) claim. Rather, Amazon notes, as has the Presiding Officer, that China United abandoned the fraudulent inducement theory that allowed its claim to survive dismissal. Without that theory, the section 41102(a) claim presents no matter "peculiar to the Shipping Act," and instead remains what it always was: a contract dispute.

Because China United has failed to allege or make any showing that Amazon violated section 41102(a) as properly construed, summary disposition is appropriate.

B. China United Has No Evidence That Respondents Obtained Transportation Through Fraud at Below-Applicable Rates

As noted above, China United admits that its claim is not based on any alleged misrepresentation regarding any particular shipment or cargo (Response to Fact No. 28) and that Amazon paid the freight due and owing for all the cargo carried under the contract. (Response to Fact No. 16). China United does not contend that Amazon avoided rates or charges applicable to cargo. It contends that Amazon improperly terminated the contract for cause and therefore owes liquidated damages. This argument does not state a claim under section 41102(a). *See Samsung Electronics America*, 2025 WL 2207363, at *18 (Section 41102(a) violations have "all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo.")). China United attempts to cure this problem by referring to the contractual liquidated damages as "Early Termination Freight Payments." CUL Opp. at 5. This term does not appear in any of the contracts or dealings between the parties and has no legal meaning. It is a made-up

phrase to mask that China United is trying to convert a contractual remedy into a freight rate or charge.

China United's reliance on *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines—Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, FMC Dkt. No. 02-06, Initial Decision at 8 (July 10, 2003), review declined (FMC Feb. 6, 2004) is also of no help to it. There a nonvessel operating common carrier (NVOCC) knowingly gave unaffiliated parties unauthorized access to its service contracts. Those parties consequently obtained transportation at lower contract rates instead of applicable tariff rates. That conduct falls directly within section 41102(a) because it involves fraud used to obtain lower rates.

China United's failure to tie its allegations to lower rates for any transportation of cargo provides an independent basis for summary disposition. Even if Amazon's conduct constituted fraud or concealment covered by the statute (and it does not), China United's theory is that Amazon terminated the parties' contract for cause to avoid paying liquidated damages, not to obtain transportation at lower rates. That type of conduct falls outside the purview of the statute.

C. China United's Purported Factual Disputes Are Not Material Because They Do Not Cure Its Failure of Proof on an Essential Element of Its Section 41102(a) Claim

China United attempts to manufacture factual disputes by devoting several pages to matters such as a banner displayed briefly at a meeting, Amazon's own publicity regarding its business, and Amazon's alleged delay in invoking contractual remedies. CUL Opp. at 5-7. Those issues do not preclude summary disposition. At most, they bear on whether Amazon waived or was otherwise entitled to enforce its contractual rights, including its decision to terminate for cause. Those issues are the subject of the parties' pending contract litigation in New York, not this Shipping Act proceeding. Indeed, China United has admitted the material facts set out in Amazon's

statement; as shown in Amazon’s reply it has simply added irrelevant assertions and argumentation to those admissions.

More fundamentally, none of the additional facts China United alleges advances a viable section 41102(a) theory. China United repeatedly invokes terms such as “fraud,” “deceit,” “concealment,” and “leverage.” Yet it identifies no false statement, no cargo-related misrepresentation, and no authority treating the alleged conduct as fraud or concealment under the Shipping Act. As discussed above, the cases it cites uniformly involved affirmative misrepresentations used to obtain transportation, cargo services, or lower rates. China United alleges nothing comparable. Facts untethered to a viable theory of liability are not material and cannot create a genuine issue requiring a hearing. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986) (“Only disputes over facts that might affect the outcome of the suit under the governing law will properly preclude the entry of summary judgment.”).

China United’s principal contention is that Amazon knew of certain publicity activities before April 2023 and acted deceptively by not immediately asserting its contractual rights. CUL Opp. at 19.⁵ But even if there were evidence supporting that premise (there is none), China United identifies no authority holding that delay in asserting a contractual right, or failure to disclose a party’s interpretation of a contract, constitutes actionable fraud, deceit, or concealment. Whether Amazon later waived its right to enforce the contractual restrictions is a contract-law question for the New York court. It is not a Shipping Act violation.

⁵ China United also argues that Amazon’s failure to object to a banner China United displayed at a meeting at a terminal constitutes a waiver of Amazon’s right to terminate the contract for cause. That issue is being litigated in the separate contract action. The banner is irrelevant to China United’s section 41102(a) claim because it has nothing to do with fraud or concealment used to obtain transportation or cargo services at lower rates.

The same is true of China United's repeated references to supposed "leverage." CUL Opp. at 1-2, 9-10, 17, 18 nn. 9 & 11, 20. China United identifies no legal duty requiring Amazon to disclose its legal interpretation of the contract or announce a potential default before exercising its rights. Nor does it cite authority treating contractual "leverage" as fraud, deceit, or concealment under section 41102(a).

In short, even if every fact recited by China United as supposed evidence of fraud, concealment, or deceit were accepted as true (and they are not), none would establish a violation of section 41102(a). The alleged disputes concern contractual rights and defenses, not the elements of a Shipping Act claim, and therefore do not preclude summary disposition.

III. CHINA UNITED HAS NO VIABLE THEORY OF ACTUAL INJURY OR REPARATIONS

A. China United's Damages Theory Confirms This is a Contract Case

In its response to Amazon's statement of undisputed facts, China United confirms that it has not claimed any actual injury independent of the contractual liquidated damages it is seeking in the New York litigation. (Response to Fact No. 30). China United's brief states that it "sustained actual injury when Respondents failed to pay . . . [their] full obligations in accordance with the Service Contract." Dkt. No. 11, Verified Am. Compl., ¶ 47. CUL Opp. 28. China United has not sought those damages in this proceeding. Nor could it. Section 40502(f) expressly provides that "the exclusive remedy for a breach of a service contract is an action in an appropriate court." China United's claim is thus directly based on a legally impossible theory of actual injury.

Nor does China United identify any other cognizable injury. It does not dispute that Amazon paid all contract freight rates for cargo moved under the agreement, and its own expert confirmed that those rates exceeded both market rates and applicable tariff rates for nearly the entire contract term, often by substantial margins. China United's assertion that Amazon obtained

“below-market service-contract rates,” CUL Opp. 30, is therefore contrary to the record. Nor has China United shown any traditional form of actual injury, such as unpaid freight, out-of-pocket losses, additional operating expenses, cargo loss, or other concrete harm flowing from the conduct alleged. The parties agreed that tariff rates would apply only if Amazon elected to use a lower tariff rate. China United therefore never had any entitlement to the tariff rates it now invokes. Resp. Mot., at 17.

China United’s actual-injury theory rises or falls on the alleged nonpayment of contractual liquidated damages. Because those damages are recoverable, if at all, only in a contract action, China United’s failure to identify any cognizable Shipping Act injury provides an independent basis for summary disposition.

B. China United’s Rerating Theory Fails as a Matter of Law

Count V of China United’s Amended Complaint, which sought rerating relief, was dismissed in the *June 6 Order*. China United identifies no alternative legal basis for that remedy. Its assertion that it has “always alleged” entitlement to rerating does not make a legally deficient theory viable. CUL Opp. 21-22.

China United nevertheless argues that rerating remains available because there is a factual dispute as to whether Amazon’s termination was “unanticipated.” CUL Opp. 23. China United asserts that “*it* could *never* have anticipated that Amazon would bless usage of its name in 2022 but then deem that same usage inappropriate (and grounds for cancellation) in 2023.” CUL Opp. at 23 (first emphasis added). *See id.* (“Each of CUL’s witnesses testified that *they* were stunned and astounded by Amazon’s termination for cause”) (emphasis added). This “unanticipated” cancellation theory rests on China United’s disagreement with Amazon’s interpretation of the Publicity Provisions and its claimed surprise that Amazon later invoked them to terminate for

cause. The theory is implausible given the undisputed evidence that China United repeatedly sought Amazon's consent before publicizing its name. It is also contrary to the *June 6 Order* and the regulation.

Under 46 C.F.R. § 530.10(a)(3), rerating requires two conditions. The cancellation must be "unanticipated by the service contract," and it must result from the shipper's failure to tender the minimum cargo volume. The question is not whether *China United* anticipated the termination; it is whether the *contract* did. The *June 6 Order* squarely resolved that issue, holding that because termination was expressly addressed in the parties' agreement, it was not "unanticipated by the service contract." *June 6 Order* at 22. The regulation is independently inapplicable because the termination did not result from a failure to satisfy the minimum cargo commitment. China United does not address that separate requirement.

China United also argues that its rerating theory is supported by two rate discrimination cases, *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, Docket No. 94-01, 29 S.R.R. 356, 357 (F.M.C. Aug. 15, 2001) and *Valley Evaporating Co. v. Grace Line, Inc.*, 14 F.M.C. 16, 25 (1970). CUL Opp. at 27. This is not a rate discrimination case, and *Ceres* and *Valley Evaporating* are inapposite. China United is a carrier, not a shipper claiming protection from tariff rate discrimination. China United had no right to any tariff rate, as it expressly agreed in the contract. *See* Resp. Mot. at 17. Cases enforcing such a right thus have no bearing on this one.

C. Even If There Were a Proper Legal Basis for a Rerating Remedy, It Would Yield No Reparations

As noted above, the rates for cargo carried under the contract were well above market rates and applicable tariff rates for almost the entire period the contract was in effect. As set out in Amazon's motion, at 17-18, a proper rerating would show that China United owed Amazon money because the contract rates exceeded the tariff rates. It would not produce reparations for China

United. China United's expert St. Amand reached the opposite conclusion only because for periods when no proper tariff was in place he applied—by default—a non-rate rule intended as a placeholder. He applied that rule by default even though the rule expressly stated it did not apply by default. Only through its improper application did St. Amand's calculations yield a rate many multiples of market rates. *Id.*

Rather than overtly defend this result, China United on brief claims that Amazon's expert never performed a calculation showing that a rerating using different assumptions would produce a negative number, and that Amazon's expert was merely testifying as to a "*belief*." CUL Opp. at 25. This is a distortion of the record. Amazon's expert testified, *and China United's expert confirmed*, that China United's large reparations numbers depended *entirely* on use of the placeholder rule. They also confirmed that rerating yielded negative reparations whenever an applicable tariff governed container movements in the relevant port pair. SMF at ¶¶ 35-37. Contrary to China United's assertion, its expert Gary Kardian never testified that it was proper to use, by default, a placeholder tariff rule that said on its face it did not apply by default. SMF at ¶ 38.

As evidence of the unseriousness of its entire rerating calculation, China United for the first time on brief suggests that:

If the Presiding Officer determines that re-rating is not available, then CUL is entitled to damages as measured by the Tender Shortfall Liquidated Damages provision in the amount of \$2,000 per FEU for each container under 80% of the MQC, until the end of the Service Contract term. This amount totals \$47,616,000.

CUL Opp. at 29. China United has never pled or advanced this theory before, there is no basis for it, and the Commission is without jurisdiction to award it. It should be ignored except as

indication of the degree to which China United is flailing to try to keep its factually and legally unsupported case alive.

CONCLUSION

Discovery confirms that China United has no viable claim under 46 U.S.C. § 41102(a). China United identifies no actionable fraud or concealment, no transportation obtained at below-applicable rates, and no injury independent of its asserted contractual remedies. Because its purported factual disputes cannot cure these failures of proof, Respondents' Motion for Summary Disposition should be granted.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on this 9th day of September, 2026 the aforesaid Respondents' Reply in Support of Their Motion for Summary Disposition has been filed electronically with the Secretary, with a copy to judges@fmc.gov and to the following parties of record, as provided by the Initial Order in this proceeding.

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